
AGENT

agreement





wholesale payments

The Credit Wholesale Company, Inc. dba Wholesale Payments, a Texas Corporation (WP) whose business is located at 7602 University Avenue, Lubbock, Texas 79423 is entering into this Agent Agreement ("Agreement") as of _____ ("Effective Date"), with _____ ("Agent") whose primary address is located at _____

RECITALS



A

Agent engages in the business of marketing services to business entities that accept Cards (as defined below) as payment for goods and services;

B

Wholesale Payments (WP) provides Merchant Card Services (as defined below), to merchants through bank(s) that are members of the Visa and MasterCard network, and WP wishes to retain Agent to assist in marketing its Merchant Card Services.

C

Therefore, in consideration of the mutual promises and the terms and conditions below, the parties agree as follows:

DEFINITIONS

“CARD” means (i) a valid credit or debit card in the form issued under license from a Card Association or (ii) any other valid credit card, charge card or debit card accepted by Merchant with WPI’s prior written approval.

“CARD ASSOCIATION” means Visa U.S.A., Inc., Visa International, Inc., MasterCard International, Inc. or any other card issuers, such as debit networks, that provide Cards that are accepted by Merchant by agreement with WPI.

“CARDHOLDER” means the person whose name is embossed upon the face of the Card.

“GROSS SALES” means the total value of card sales generated by an individual Merchant, for any stated time period, and presented to a Member Bank for processing and collection.

“MEMBER BANK” means any member of a Card Association that has registered WPI as its agent to provide Merchant Card Services.

“RULES” means the rules and regulations of the Card Associations, as they may exist from time to time, and the rules and regulations of any debit network or federal or state department or agency having jurisdiction over the activities of a Member Bank, WPI or Agent.

“SALES PERSON” or **“SALES PERSONS”** means those individuals that have been identified by Agent and are managed by Agent to solicit and sign Merchants for WPI under the terms of this Agreement.

“TRANSACTION” means any sale of goods or services, or credit for such, from a Merchant for which the customer makes payment through the use of any Card and which is presented to a Member Bank for collection.

“MERCHANT” means each party solicited by Agent and with which WPI and a Member Bank enter into a Merchant Agreement as a result of such solicitation.

“MERCHANT ACCOUNT” means a specific and unique numbered account established by WPI for the processing of a Merchant’s Card Transactions.

“MERCHANT AGREEMENT” means any agreement in effect by and among WPI, a Member Bank and a Merchant, and shall include any application required by WPI to determine if a business will be accepted as a Merchant.

“MERCHANT CARD SERVICE” means the operations relating to the acceptance, processing and collection of Transactions on behalf of Merchants by WPI. Such operations include, but are not limited to solicitation of prospective Merchants, credit review and approval of Merchants, clearing and settlement of Transactions, customer services, and chargeback and retrieval services.

“MERCHANT PROGRAM” means the operations, policies and procedures as established by a Member Bank for WPI for the processing and settlement of Card Transactions for Merchants.

“MERCHANT PROGRAM STANDARDS” means the written policies and procedures established from time to time by Member Bank and WPI to govern the operations of the Merchant Program, including credit and standards to be used by Agent in the solicitation of prospective merchants and policies and procedures to ensure that relationships with Merchants are satisfactory and that the Merchant Program is maintained in a financially safe and sound manner.

SECTION I

MERCHANT PROGRAM MARKETING

1.1 MARKETING DUTIES OF AGENT. Agent shall identify prospective Merchants exclusively for WP that meet the Merchant Program Standards. Agent will obtain all information and documentation from prospective Merchants required by the Merchant Program Standards and any other information and documentation that the Member Bank or WP may reasonably require.

1.2 MERCHANT PROGRAM STANDARDS. Agent shall faithfully and consistently apply Merchant Program Standards to all prospective Merchants and Merchant Agreements. Agent acknowledges that WP or its Member Bank may at any time amend such standards to ensure the financial safety and soundness of the Merchant Program. Agent will accept and abide by all such amendments.

1.3 USE OF MERCHANT AGREEMENTS. Agent shall use only the form of Merchant Agreement that has been approved by WP for Agent's use with the Merchant Program. Agent shall not make any changes or modifications to any Merchant Agreement without the prior written consent of WP. WP reserves the right to amend or change in any manner the Merchant Agreement to be used by Agent, including changes to the discount rate, Transaction fees and all other fees due from Merchants.

1.4 APPROVAL OF MERCHANT AGREEMENTS. Agent acknowledges that all Merchant Agreements must be approved by WP and/or Member Bank, at their sole discretion, and will become effective only upon such approval. Therefore, Agent will not make any promise to or create any impression with a prospective Merchant that its Merchant Agreement will be approved prior to WP's or Member Bank's review and approval. Further, Agent acknowledges that all aspects of the Merchant Program are subject to the management and approval of WP and/or Member Bank, and Agent shall make no representations to the contrary.

1.5 ACCEPTABLE MERCHANTS. Agent shall market the Merchant Program only to bona fide and lawful businesses and in accordance with the Merchant Program Standards. Agent shall promptly notify WP in writing of any adverse information that Agent receives relating to a Merchant, including but not limited to information regarding a Merchant's financial condition, use of Cards for any purpose other than payment for the bona fide sale of goods and services, change in Merchant's method of doing business or types of goods or services, or information that would have a material effect on Merchant's ability to conform to the terms of its Merchant Agreement.

1.6 SUPPLIES AND MERCHANT TRAINING. Agent shall instruct Merchant to contact WP in sufficient time to order necessary supplies. Agent shall provide proper training to the Merchants on the use of processing equipment and the proper operational procedures for acceptance of cards according to Association Rules. The foregoing may include placement of manual imprinters for all Merchants, use of WP approved manuals and written procedures and training related to the use of electronic point-of-sale terminals.

1.7 SALES & MARKETING

(A) MARKETING MATERIALS. Agent shall use only those marketing and promotional materials that have received WP's prior written approval. Agent understands and acknowledges that only a registered independent sales organization that has a direct written contract with Visa or MasterCard may perform services on behalf of the Member Bank. An independent sales organization, third-party service, or independent contractor must not present itself to prospective merchants under any other trade name except the one registered with Visa or MasterCard. If Agent is not a registered ISO or MSP, Agent shall market processing services under the Wholesale Payments brand. If Agent is not registered with Visa as an Independent Sales

Organization or with MasterCard as a Member Service Provider, Agent is not authorized to represent that they sell Visa and/or MasterCard processing services, which includes but is not limited to the use of the Visa and/or MasterCard logos or the Brand Visa and/or MasterCard. Agent shall not use any Card Association trademark on business cards, letterhead, or stationery. When soliciting Merchants on behalf of WP, Agent shall not present itself to prospective Merchants under any trade name other than "Wholesale Payments."

(B) EXCLUSIVE SERVICES. While this Agreement is in effect, Agent, Salesperson, Agent's principals, officers, directors, employees, affiliates, successors, and assigns shall market the Merchant Program to Merchants on an exclusive basis, and subject to the provisions of this Section, shall not market or sell the services of any other merchant acquiring program that are similar to the Merchant Program or enter into any agreement to solicit merchants for any other merchant acquiring program. Agent shall be obligated to present exclusively all prospective Merchants to WP; provided, however, that Agent may market or sell any third-party services to any proposed Merchant that is first submitted to WP but declined by WP or its vendors for any reason whatsoever. In the event that Agent markets or sells the services of another merchant acquiring program in breach of its exclusivity obligation to first present Merchant to WP under this Section, Agent shall pay WP upon demand the value of the Merchant Account boarded with the other merchant acquiring program as determined in WP's discretion or fifteen hundred dollars (\$1,500.00), whichever is greater, per breach as liquidated damages. The parties agree that the actual damages likely to result from a breach of this Section are impossible to compute as of the date of this Agreement and would be difficult for the Company to prove, and that the foregoing liquidated damages amount represents a fair, reasonable, and appropriate estimate thereof. Such liquidated damages are intended to represent estimated actual damages sustained by WP for a breach of this Section and are not intended to represent a penalty. ISO represents and warrants to WP that as of the Effective Date, it is not a party to any merchant processing agreement with any third-party that would interfere with its ability to comply with its exclusivity obligations under this Section.

AGENT INITIALS

1.8 SALESPERSON. Agent shall be responsible for identifying and employing Salespersons who will solicit Merchants and otherwise market the Merchant Program. Agent shall be liable for the actions of all Salespersons. All Salespersons must be approved by WP. Agent will immediately notify WP of the termination of any Salesperson.

1.9 SITE SURVEYS. Upon WP's demand, Agent or Salesperson shall perform an on-site inspection of a Merchant's place of business. This site inspection may include a picture of the facade of the business establishment demonstrating Merchant's d/b/a name and a picture of the inside of the business premises, preferably showing Merchant's inventory. Agent authorizes WP to conduct site surveys of their business/personal address as indicated per the ISO documentation.

1.10 SUBCONTRACTING OF SERVICES. Agent shall not enter into any contract, whether written or oral, with any other organization or entity (other than with Salesperson performing services on behalf of WP) to market the Merchant Program without WP's prior written consent. Each such entity approved by WP must enter into a separate written agreement with WP.

1.11 LOSSES. All losses incurred by WP attributable to Merchants, including but not limited to fraud, chargebacks, fines and nonpayment of Merchant fees (hereinafter collectively "Merchant Losses"), will be borne by WP; however, ISO will be liable to WP for Merchant Losses arising out of Agent's or Salesperson's fraud, negligence, or failure to comply with the terms of this Agreement.

SECTION II

EXPENSES & COMPENSATION

2.1 EXPENSES. Agent shall be responsible for payment of all expenses relating to its performance of this Agreement, and, except as set forth in Section 2.2, WP shall have no obligation whatsoever to reimburse Agent for any expenses incurred by Agent in connection with this Agreement. Further, Agent shall be solely responsible for determining whether payment will be made for expenses of any Salesperson and shall be solely liable for any such payment.

2.2 REVIEW OF DOCUMENTS. WP shall be responsible for expenses and legal fees incurred by WP in connection with its initial review of all agreements, marketing materials and other documentation relating to the Merchant Program that are proposed by Agent. Any expenses and legal fees relating to the review of changes to such documents or new documents proposed or used by Agent shall be paid by Agent. In addition, Agent shall pay all legal fees and expenses incurred by WP relating to the renegotiations of any term or condition of this Agreement or any renewal of this Agreement, if such renewal involves material changes to the Agreement.

2.3 COMPENSATION. During the term of this Agreement, residual compensation to Agent will be paid as set forth in the attached Schedule A, Revenue Share Program (“Compensation”). WP has the right to amend Schedule A at any time and for any reason following written notice to Agent. Compensation calculated for a month’s Transactions shall be paid within thirty days (30) after receipt thereof by WP. At the time of each payment, or soon thereafter, WP will provide a statement detailing the computations used by WP in arriving at the compensation. If Agent disputes any Compensation paid to it, Agent agrees to inform WP within 30 days of the date of payment. Agent waives any claim against WP regarding any Compensation Agent fails to dispute within such 30-day period. Notwithstanding anything to the contrary in this Agreement, Agent shall have no right or claim to receive Compensation for, or to share in, revenues generated by any products or services now or in the future sold by or through WP, except to the extent that such products, services, and accompanying revenues are expressly incorporated as a component in determining Compensation in Schedule A. Agent acknowledges that the fees charged to merchants and Agent by WP are subject to change. Compensation for accounts on reserve will be settled to the agent at 50% of the contracted residual rate. WP will settle the reduced Compensation amount until such time as the reserve balance is released to the merchant. With every approved MID, Wholesale Payments reserves the right to charge back the equipment cost in full if account is not processing or equipment is not returned within sixty (60) days.

(A) COMPENSATION TO SALESPERSON. Agent shall determine reasonable compensation to be provided to Salesperson employed in marketing Merchant Card Services for WP, and Agent shall be responsible for providing such compensation to each Salesperson from revenues paid to Agent under this Agreement.

(B) TERM OF COMPENSATION. Except as set forth below, WP shall pay Compensation to Agent as set forth in this Agreement for all Merchants for any period of time during which such Merchants continue to generate revenue to WP. WP’s obligation to pay Compensation to Agent shall immediately terminate upon the earlier of: (i) Agent is not actively soliciting Merchants as set forth in this Section; (ii) Agent’s monthly Compensation is less than \$250.00 in any month; or (iii) WP terminates this Agreement pursuant to Section 6.2 or Section 6.3. Agent must submit a minimum of three (3) approved Merchant Accounts to qualify as actively soliciting as set forth above in Section 2.3(B)(i). WP shall not have the right to terminate Agent’s Compensation as set forth in Section 2.3(B)(i) and 2.3(B)(ii) once Agent becomes fully Vested (as defined in this Agreement). “Vested” shall mean that for a period of three (3) consecutive months: (a) Agent’s monthly Compensations is at least \$5,000.00; and (b) Agent has thirty (30) Processing Merchant Accounts (as defined below). “Processing Merchant Accounts” shall mean a Merchant Account that has at least \$1,000.00 in Transactions from at least five (5) separate Cards, excluding any test Transactions ran by WP.

(C) PAYMENTS & ACH AUTHORIZATION. Agent hereby authorizes WP, solely with respect to amounts due pursuant to this Agreement, to initiate Automated Clearing House (“ACH”) Authorizations to debit and/or credit entries to charge and/or credit Agent’s demand deposit account on file with WP, and hereby authorize and direct the financial institution to debit the account in the amount of each debit, and, if necessary initiate any adjustments for any Transactions credited/debited in error. Agent agrees that: Agent will immediately notify WP in writing of any changes in its demand deposit account information on file with WP; WP shall incur no liability if balance in the account is insufficient to cover any draft upon presentation; canceled draft/bank debit memo account statement will constitute a receipt for the payment of the specified amount; WP may, at its discretion, attempt to re-debit drafts returned unpaid a reasonable number of times. Agent shall be responsible for any fees incurred by WP for attempting any debit as authorized by this Section. This authorization shall remain in effect unless and until WP has received written notification from Agent that this authorization has been terminated in such a time and manner to allow WP and the applicable financial institutions to act. Undersigned represents and warrants to WP that the person executing this Agreement is an authorized signatory on the bank account referenced above. Agent further agrees that a breach of this authorization section will constitute a “Breach” of this Agreement.

2.4 SETOFF RIGHTS, SECURITY INTERESTS. WP shall have the right to set off any amounts owed by Agent under this Agreement against any funds credited to or owing to Agent. WP may exercise this right of set off at any time and without notice to Agent whether the obligations of Agent to WP are then due. As security for the obligations of Agent to WP, Agent hereby grants WP a security interest in all money, instruments and other property of Agent that may now or hereafter be held by WP or the Member Bank.

2.5 SALE OR MERGER OF WP. WP may at any time sell or merge its business or its Merchant portfolio. In the event WP chooses to exercise this option, if Agent is in good standing it may, at WP’s option, either continue to be paid Compensation by the successor company or Agent will be paid a one-time buy out.

SECTION III

ADDITIONAL OBLIGATIONS

3.1 COMPLIANCE WITH POLICIES & PROCEDURES. Agent agrees to comply with WP and the Member Bank's policies and procedures and with Rules. Agent agrees that WP, Member Bank, the Card Associations and any federal or state regulatory agency having jurisdiction over Member Bank or WP may, from time to time, amend their Rules, policies, and procedures. Agent agrees to accept and abide by all such amendments.

3.2 CODE OF ETHICS. Agent, on behalf of itself and all its Salesperson, managers, owners, employees, and affiliates (collectively the "Agent Parties") acknowledges and agrees to comply with the following code of ethical conduct, and furthermore hereby agree to indemnify and hold WP harmless from any damages, liability, or expenses for any violations of this Paragraph 3.2 by Agent or any Agent Parties:

- (a) Agent will not make false promises or claims that are not indicated on the applicable Merchant Agreement;
- (b) Agent will not make promises of payment for prior lease obligations or fee obligations for previous processing obligations in order to induce the applicant to sign a Merchant Agreement or any other agreement, unless those payments are actually made on the merchant's behalf;
- (c) Agent will always provide merchants with all pages of the Merchant Agreement upon receipt of their signature;
- (d) All fees will be disclosed to the merchant prior to obtaining signature;
- (e) Agent will not have the merchant sign any pages of any agreement that have not been completely filled out;
- (f) Agent will not submit any Merchant Agreements to Wholesale Payments Inc that have been altered after the merchant has executed the same, without written authorization from the merchant;
- (g) Agent will abide by all Federal, State, and Local laws, the Rules, regulatory agencies, and Member Bank and WP policies and procedures;
- (h) Agent will not accept monies from any merchant for services that Agent has not invoiced or provided; and
- (i) Agent will not initiate any Transactions in a merchant's Card equipment other than test Transactions.

3.3 CREDIT REPORTING & CRIMINAL BACKGROUND CHECKS ON AGENT. Agent authorizes WP to investigate individual credit bureau and criminal background reports on Agent and each of Agent's principals and Salespersons which shall include any persons individually or collectively directly or indirectly owning 10% or more of Agent, any officer or director of Agent, and any person actively participating in the control of Agent's business.

3.4 MERCHANT FUNDS. Agent acknowledges that all funds to be paid to or by Merchants shall be under the sole control of WP and Member Bank. Agent agrees that if any such funds are sent to Agent or any Salesperson, Agent shall be deemed to have received such funds in trust for the benefit of WP and shall immediately remit such funds directly to WP.

3.5 AUDITS. If WP reasonably believes that Agent or any Salesperson is not materially performing its obligations under this Agreement or if required by a Card Association, WP or its designee may (a) conduct an audit of Agent's operations and books and records; (b) retrieve an additional periodic individual credit bureau report regarding Agent and related entities as listed in section 3.3 or (c) conduct performance audits of Agent to determine Agent's compliance with this Agreement, WP's and Member Bank's policies and procedures, and Rules. All costs relating to any such audit shall be the responsibility of Agent if any material irregularities or non-compliance are identified by WP. If WP determines that no such irregularities or non-compliance exist, WP shall bear costs of the audit.

SECTION IV

REPRESENTATIONS & WARRANTIES OF AGENT

4.1 AGENT REPRESENTS & WARRANTS AS FOLLOWS:

(a) Agent has the full power and authority to execute, deliver and perform this Agreement. This Agreement is valid, binding, and enforceable against Agent in accordance with its terms and no provision requiring Agent's performance conflicts with Agent's obligations under any other agreement to which Agent is a party or by which it is bound.

(b) If other than a sole proprietorship, Agent is duly organized, authorized and in good standing under the laws of the state of its organization and is duly authorized to do business in each other state in which Agent's business, including marketing of the Merchant Program, make such authorization required.

(c) Neither Agent or any principal (as set forth in Sec. 3.2) has been subject to any (i) criminal conviction (excluding traffic misdemeanors or petty offenses), (ii) bankruptcy filings; (iii) Internal Revenue Service liens; (iv) federal or state regulatory administrative or enforcement proceedings; or (v) restraining order, decree, injunction or judgment in any proceeding or lawsuit alleging fraud or deceptive practices.

In the event Agent or any principal (as set forth in Section 3.2) is a party to or named in any pending lawsuits, Agent shall provide WP with a list of the same at the time of Agent's execution of this Agreement. Further, Agent shall promptly notify WP (within 30 days) of any litigation to which it or any such principal becomes a party or in which they may be named during any time in which this Agreement is in effect.

4.2 COMPLIANCE, UDAAP, TRAINING, AND SALES ACTIVITY DOCUMENTATION.

Agent agrees to comply with all applicable laws, rules, regulations, card brand rules, processor requirements, sponsor bank requirements, and Company policies and procedures, including all policies prohibiting unfair, deceptive, or abusive acts or practices.

Agent shall not make any false, misleading, deceptive, incomplete, or unsupported statement to any merchant or prospective merchant regarding pricing, rates, fees, equipment, savings, contract terms, cancellation rights, processing obligations, approval likelihood, card brand requirements, processor relationships, sponsor bank relationships, or any product or service offered by Company.

Agent shall use only Company-approved sales materials and shall accurately document sales activity, merchant interactions, appointments, follow-ups, pipeline status, and related sales notes in the Company's designated CRM system, currently Spotio CRM, or any replacement system designated by the Company.

Agent agrees to complete all required compliance training assigned by Company, including UDAAP, sales conduct, pricing disclosure, CRM usage, complaint escalation, and other compliance training as required from time to time, and Agent authorizes Company to maintain training completion records, acknowledgments, CRM activity records, complaint records, and related documentation as part of Company's compliance management and sales oversight program.

Agent shall promptly escalate any merchant complaint, dispute, allegation of misrepresentation, pricing concern, equipment dispute, cancellation issue, or compliance concern to Company management. Failure to comply with this section may result in corrective action, retraining, commission review or adjustment where permitted, suspension, termination, or any other remedy available to Company under this Agreement or applicable law.

SECTION V

NON-SOLICITATION & CONFIDENTIALITY AGREEMENT

5.1 NON-SOLICITATION OF MERCHANTS. Without WP's prior written consent, Agent shall not cause or permit any of its employees, agents, principals, affiliates, subsidiaries, Salespersons or any other person or entity (a) to solicit or provide services to any Merchant; (b) to solicit or otherwise cause any Merchant to terminate its participation in the Merchant Program; or (c) to solicit or market services to any merchant that is already directly or indirectly provided Merchant Card Services by WP, whether or not such are provided under the terms of this Agreement. This Section 5.1 shall survive for a period of 5 years following any termination of this Agreement.

5.2 CONFIDENTIAL INFORMATION. During the term of this Agreement and for a period of two (2) years following termination of this Agreement, Agent and WP each agree that it will not use for its own purposes, will not disclose to any third party, and will retain in strictest confidence all information and data belonging to or relating to the business of the other (including without limitation the terms of this Agreement), and that each party will safeguard such information and data by using the same degree of care and discretion that it uses to protect its own confidential information. All information relating to Merchants is the confidential Information of WP. No party will be obligated to maintain the confidentiality of information: i) it is required to reveal in performing its obligations under this Agreement or under a third party contract, ii) that is or becomes within the public domain through no act of the disclosing party in breach of this Agreement, iii) was in the possession of the disclosing party prior to its disclosure under this Agreement, and the disclosing party can prove that, iv) received from another source that has no restriction on use or disclosure, or v) is required to be disclosed by state or federal law.

5.3 REMEDY. In the event of a breach of this section, the parties agree that the non-breaching party will suffer irreparable harm, and that the amount of monetary damages would be impossible to calculate. Thus, the non-breaching party will be entitled to injunctive relief in addition to any other rights to which the non-breaching party may be entitled, without the necessity of proof of actual damages. In addition to all rights and remedies available to WP under this Agreement and applicable law, if Agent breaches Section 5.1 of this Agreement, Agent shall pay WP upon demand the greater of (i) \$1,500.00; or (ii) the value of the Merchant Account or merchant, as applicable, multiplied by forty (40), per breach as liquidated damages.

5.4 NAMES AND TRADEMARKS. Neither party will use the other's name or trademarks in any promotional or marketing materials without prior written consent. WP grants to Agent a limited, non-exclusive license to use the name "Wholesale Payments" and to use the WP trademark when conducting business on behalf of WP under this Agreement. Until and unless Agent is registered as an MSP and Agent with the Card Associations, all telephone lines must be answered "Wholesale Payments" and Agent shall identify himself in correspondence with Merchants as WP. The parties understand and agree that this Agreement does not confer, and neither party shall obtain, any other right to either party's name or trademarks by virtue of such use.

_____ **AGENT INITIALS**

SECTION VI

TERMS & TERMINATION

6.1 TERM. The initial term of this Agreement shall be for a period of three (3) years, commencing on the Effective Date. This Agreement shall be automatically renewed for additional terms of one (1) year each unless either party notifies the other no later than 30 days prior to the end of the current term that it does not wish to renew this Agreement.

6.2 TERMINATION. This Agreement may be terminated at any time as follows:

- (a) Either party may immediately terminate this Agreement if the other party breaches any of the provisions of his Agreement and fails to cure such breach within 30 days of its receipt of written notice thereof; or
- (b) Either party may immediately terminate this Agreement if the other party (i) becomes insolvent; (ii) fails to pay its debts or perform its obligations in the ordinary course of business as they mature; (iii) becomes the subject of any voluntary or involuntary proceeding in bankruptcy, liquidation, dissolution, receivership, attachment or composition for the benefit of creditors; or
- (c) WP may terminate this Agreement if Agent materially defaults in its obligation to comply with the Rules, or if Agent or any Salesperson engages in fraud or misrepresentation to WP or to any Merchant.

6.3 REGULATORY DEMAND. If Visa, MasterCard or any federal or state regulatory agency having jurisdiction over the subject matter of this Agreement makes a demand that either WP or Member Bank discontinue or substantially modify the Merchant Program, either party in its sole discretion may terminate this Agreement upon written notice to the other, in which case neither party shall be deemed to be in default by reason of such termination. Agent shall be entitled to continue to receive compensation as provided in Section 2.3 unless prohibited by the entity making the demand for discontinuance or modification.

SECTION VII

EFFECT OF TERMINATION

7.1 COMPENSATION TO AGENT FOLLOWING TERMINATION.

Compensation shall be paid to Agent following termination of this Agreement pursuant to Section 2.3(B).

7.2 CONFIDENTIAL INFORMATION. Records prepared by Agent or that come into its possession during its service to WP are and remain the property of WP, and when this Agreement terminates, such records and any copies or summaries must be immediately sent to WP. Agent will forward to WP all information, products and documentation relating to WP and its customers, which Agent acquires or develops during the term of this Agreement. Agent may not disclose such information to any person during or after the term of this Agreement.

SECTION VIII

ADDITIONAL TERMS & CONDITIONS

8.1 SALE OR ASSIGNMENT OF AGENTS INTEREST IN MERCHANT RELATIONSHIP AND RIGHT OF FIRST REFUSAL.

All right, title, and interest in all Merchant Agreements is vested in WP. Notwithstanding the previous sentence, WP agrees that Agent may sell its right to receive Compensation, subject to the following:

(a) The Agent agrees that if the Agent receives a bona fide offer to purchase some or all of the Agent's interest in the Compensation which the Agent desires to accept, Agent will notify WP of the terms of such offer in writing. WP is hereby granted the right of first refusal to purchase Agent's rights to Compensation at a price and on such terms equal to the offer. WP may exercise its right of first refusal by giving written notice of such election to the Agent within 21 days of WP's receipt of the notice. If WP does not exercise its option within such period, the right of first refusal shall terminate with respect to that specific offer only. WP agrees to purchase the Compensation on such terms within 30 days thereafter. Any materially different offer or proposal must be offered first to WP.

(b) Regardless of whether WP chooses to exercise its right of first refusal, WP shall be entitled to continue processing for all Merchants for the balance of the term of this Agreement, and any agreement to sell the Agent's rights in such Merchants must so stipulate.

(c) WP shall be named as a party to any such agreement to sell Agent's interest in the Compensation.

(d) If this Agreement has not expired, purchaser must agree to enter into an agreement containing substantially the same terms as provided herein with respect to the Merchant Agreements for which Compensation is sold and assigned by the Agent to such purchaser.

(e) In the event of such sale, the terms of this Agreement shall continue between the Agent and WP as to any remaining or future Merchant Accounts. Agent shall not be relieved of any obligations under this Agreement until its expiration

8.2 INDEMNIFICATION.

(a) Agent agrees to indemnify, defend, and hold harmless WP, its employees, agents and Member Banks from and against any loss, liability, damage, penalty or expense (including attorneys' fees and cost of defense) they may suffer or incur as a result of (i) any failure by Agent or any employee, Salesperson, or agent of Agent to comply with the terms of this Agreement; (ii) any warranty or representation made by Agent to WP being false or misleading; or (iii) any representation or warranty made by Agent or any employee or agent of Agent to any third person other than as specifically authorized by this Agreement; (iv) negligence or willful misconduct by Agent or any employee, Salesperson, or agent of Agent; or (v) any alleged or actual violations by Agent, or any employee, Salesperson, or agent of Agent, the Rules, governmental laws, regulations or other rules. Agent further agrees to indemnify, defend and hold harmless WP, its employees, members, directors, managers, officers or agents from and against any loss, liability, damage, penalty or expense (including reasonable attorney's fees, expert witness fees and cost of defense) they may suffer or incur in connection with or as a result of any claim by an employee, Salesperson, agent or independent contractor of Agent that such individual is entitled to payment under this Agreement. Agent may satisfy indemnity under this section (in whole or in part) by way of deduction from any payment due to Agent under this Agreement.

(b) WP agrees to indemnify, defend, and hold harmless Agent, its employees, and agents from and against any loss, liability, damage, penalty, or expense (including attorneys' fees and cost of defense) they may suffer or incur as a result of any failure by WP or any employee or designated agent to comply with the terms of this Agreement. WP shall have no liability to provide indemnification hereunder to the extent any loss; liability, damage, penalty or expense (including attorneys' fees and cost of defense) is caused or contributed to by Agent or any employee or agent of Agent.

(c) Each party shall promptly notify the other of any claim or threat of claim of which such party becomes aware and that may give rise to a request for indemnification under this section.

8.11 SECTION HEADINGS. The section headings contained in this Agreement are for convenient reference only and shall not in any way affect the meaning or interpretation of this Agreement.

8.12 COUNTERPARTS. This Agreement may be executed in one or more counterparts, each of which shall be deemed to be an original, and such counterpart shall together constitute one and the same instrument. Facsimile and electronic copies and signatures may be made and relied upon to the same extent as originals.

8.13 ENTIRE AGREEMENT; BINDING EFFECT. This Agreement, including all schedules, exhibits and attachments, embodies the entire understanding and agreement of the parties with respect to its subject matter. This Agreement shall be binding upon and shall insure only to the benefit of the parties and their respective successors and authorized assigns. Nothing in this Agreement, express or implied, is intended to confer or shall be deemed to confer any rights or remedies upon any persons or entities not parties to this Agreement.

8.14 JURISDICTION, VENUE, & GOVERNING LAW. Jurisdiction and venue for any claim or cause of action arising under this Agreement shall be exclusively in the state or Federal courts of Texas located in the County of this Agreement shall be governed and construed in accordance with the laws of the state of Texas.

8.15 JURY TRIAL / CLASS ACTION WAIVER. WP AND AGENT HEREBY WAIVE THEIR RIGHT TO A JURY TRIAL OF ANY DISPUTE OR CAUSE OF ACTION ARISING OUT OF, IN RELATION TO, OR IN CONNECTION WITH THIS AGREEMENT. THE SCOPE OF THIS WAIVER IS INTENDED TO BE ALLENCOMPASSING OF ANY AND ALL DISPUTES THAT MAY BE FILED IN ANY COURT AND THAT RELATE TO THE SUBJECT MATTER OF THIS AGREEMENT, INCLUDING, WITHOUT LIMITATION, CONTRACT CLAIMS, TORT CLAIMS, BREACH OF DUTY CLAIMS, AND ALL OTHER COMMON LAW AND STATUTORY CLAIMS. THIS SECTION HAS BEEN FULLY DISCUSSED BY EACH OF THE PARTIES HERETO AND THESE PROVISIONS WILL NOT BE SUBJECT TO ANY EXCEPTIONS. NEITHER PARTY WILL HAVE THE RIGHT TO PARTICIPATE IN A REPRESENTATIVE CAPACITY OR AS A MEMBER OF ANY CLASS PERTAINING TO ANY DISPUTE OR CLAIM. CLASS ACTIONS, PRIVATE ATTORNEY GENERAL ACTIONS, AND CONSOLIDATION WITH OTHER CLAIMS ARE NOT PERMITTED. ANY AWARD AND ANY JUDGMENT CONFIRMING IT WILL ONLY APPLY TO THE SPECIFIC CASE AND CANNOT BE USED IN ANY OTHER CASE EXCEPT TO ENFORCE THE AWARD. THIS PROHIBITION IS INTENDED TO, AND DOES, PRECLUDE WP FROM PARTICIPATING IN ANY ACTION BY ANY TRADE ASSOCIATION OR OTHER ORGANIZATION AGAINST GLOBAL. WP AND AGENT HEREBY FURTHER WARRANT AND REPRESENT THAT SUCH PARTY HAS REVIEWED THIS WAIVER WITH ITS LEGAL COUNSEL, AND THAT SUCH PARTY KNOWINGLY AND VOLUNTARILY WAIVES THE RIGHTS SET FORTH HEREIN FOLLOWING CONSULTATION WITH LEGAL COUNSEL.

8.16 SURVIVAL. Sections 1.11, 2.3, 2.4, 2.5, 3.5, 4.1 and Sections 5, 7 and 8 will survive termination of this Agreement.

Please sign below to signify that you agree to all terms and conditions contained in this Agreement. The undersigned is duly authorized to sign on behalf of Agent and to bind Agent to the terms and conditions set forth in this Agreement, and certifies that all information provided to WP in connection with this Agreement are true, correct and complete. In addition by your signature below on behalf of Agent you authorize WP to order a consumer credit report on you, Agent and each of Agent's officers, partners, and/or owners, as well as subsequent consumer credit reports, which may be required or used in conjunction with the maintenance, updating, renewal or extension of the services provided hereunder, or in conjunction with reviewing, taking collection action on, or other legitimate purposes associated with this Agreement. The undersigned, on behalf of the Agent, authorizes WP or its agents to initiate automated deposit or debit (ACH) entries to Agent's bank account as provided for in Section 2.3(c) hereof.

AGENT

Signature: _____

Name: _____

Title: _____

Date: _____

WHOLESALE PAYMENTS

Signature: _____

Name: _____

Title: _____

Date: _____

SALES AGENT – SCHEDULE A

(Effective as of January 1, 2025)

RESIDUAL SHARE	SHARE %
Residual Share %**	50%
DISCOUNT ON PROCESSING VOLUME	PERCENT OF VOLUME
VISA / MC / DISC	5 bps
AMEX	35 bps
Pin Debit / EBT	5 bps
INTERCHANGE, DUES & ASSESSMENTS	PER ITEM
Interchange, Dues, Assessment, Card Brand Fees, Debit Network Fees	Pass-Through Transaction Fees
TRANSACTION FEES	PER ITEM
VISA / MC / DISC / AMEX / Diners / JCB Authorization	\$0.03
Pin Debit / EBT / WEX / Voyager Authorization	\$0.03
Automated Response Unit (ARU)	\$0.75
Voice Authorization	\$1.50
Address Verification Service (AVS)	\$0.05
Refunds	\$0.05
Clearing & Settlement Fee	\$0.02
SAAS AND OTHER VENDOR FEES	PER ITEM
SaaS Vendors including Equipment Costs	Pass-Through
OTHER MONTHLY PROCESSING FEES	PER MONTH
Monthly Minimum Processing Fee	\$35.00
PCI Non-Compliance Fee	\$39.95
Platform Fee	\$6.00
PCI Monthly Fee	\$5.95
Support Fee	\$2.00

OTHER PROCESSING FEES	
Early Termination Fee	\$295.00
Batch Fee	\$0.10
Annual Service Fee	\$95.00
Chargeback Fee	\$25.00
Chargeback Retrieval Request	\$20.00
ACH Reject Fee	\$30.00
Invalid TIN Fee	\$49.00

** Monthly equipment rental fees for equipment placements will be allocated to cover equipment costs, service and maintenance, and therefore will not be included in the residual share.

By signing below, I understand and agree to all fees and expenses listed on this Schedule A. I also understand that these fees and expenses may be subject to change pursuant to (i) the terms of the Agreement and (ii) changes by the Card Associations and third-party service providers. Wholesale Payments will make its best effort to provide a thirty (30) day notice of any such changes. I also understand and agree that additional fees and expenses may be added to this Schedule A, which may represent future products or services offered by Wholesale Payments not currently included herein.

Acknowledged and Agreed:

Signature: _____

DBA: _____

Name: _____

Date: _____

MONTHLY BONUSES	
5 Deal Bonus	\$500.00
8 Deal Bonus	\$750.00
10 Deal Bonus	\$1,000.00
12 Deal Bonus	\$1,250.00
15 Deal Bonus	\$1,750.00
20 Deal Bonus	\$2,500.00
<i>Merchant accounts must be approved and process \$1,000 to qualify for each monthly bonus. Merchant accounts must be approved and meet processing thresholds to qualify for each monthly bonus.</i>	

FAST START BONUS	
30 Deals	\$3,000.00
50 Deals	\$5,000.00
90 Deals	\$15,000.00
<i>First 90 days and accounts must be activated within 120 days. Bonus paid in Month 5.</i>	

STANDARD SCHEDULE OF CHARGES (SSOC) & PAYMENT DEDUCTIONS

Each Merchant Agreement has a rate page or fee schedule stating the rates and fees that can and/or will be charged to the Merchant. WP has a Standard Schedule of Charges (SSOC) that each Merchant Agreement should reflect. It is the responsibility of Agent to comply with the SSOC.

If the rate(s) listed on the Merchant Agreement are lower than the rate(s) listed on the SSOC, Agent will receive a payment deduction as outlined below.

TRADITIONAL PRICING

MONTH	DEAL REQUIREMENTS	COMMISSION/RESIDUAL
Month 1	No Minimum	Double Commission
Month 2	No Minimum	Double Commission
Month 3	No Minimum	Double Commission
Month 4	No Minimum	Standard Commission
<i>Residuals will be paid in Month 5 if 3 Approved Deals are submitted in Month 4.</i>		

CASH DISCOUNT PROCESSING

STANDART SCHDEULE OF CHARGES (SSOC) DEAL REQUIREMENTS		COMMISSION/RESIDUAL
Monthly Minimum Fee	\$45.00	Deduct Difference and x3
Monthly Service	\$45.00	Deduct Difference and x3
Annual Fee	\$95.00	Deduct Difference
Early Termination Fee	\$295.00	Deduct Difference

AGENT PROFILE & QUESTIONNAIRE

Business Information *(if applicable)*

Business Name: _____

Business Physical Address: _____

City: _____ State: _____ Zip Code: _____

Business Physical Address (if different than physical): _____

City: _____ State: _____ Zip Code: _____

AGENT INFORMATION

Name: _____

Physical Address: _____

City: _____ State: _____ Zip Code: _____

Mailing Address (if different than physical): _____

City: _____ State: _____ Zip Code: _____

Driver's Licence #: _____ State of Issue: _____

Phone Number: _____ Email : _____

OTHER INFORMATION

Last Employer Name: _____ Position: _____

Have you previously sold credit card processing/merchant services? Yes No

If so, how many years in the industry? _____

BANKING INFORMATION

Bank Name: _____ Checking Savings

Routing #: _____ Accounting#: _____

ADDENDUM I

PAYROLL PROCESS

Please see below a comprehensive explanation of Wholesale Payments' payroll process. It is your responsibility to review the process and be aware of policies set forth in this addendum. The payroll process is subject to change at any given point and notice may or may not be given.

PAYMENT DISTRIBUTION

- Wholesale Payments pays its Sales Representatives (SR) and Sales Managers (SM) every Friday.
- If payment is affected by a bank holiday, an email will be sent out with a detailed explanation of how payment will work for that payment cycle.
- Deals are paid after they are installed and processing. A processing account is an account that has run a minimum of five separate credit cards for a total of \$1,000.00.
- Payment cannot be distributed to any Sales Rep (SR) or Sales Manager (SM) until all appropriate new hire paperwork is submitted:
 - a. Signed Agent Agreement.
 - b. Signed W9
 - c. Copy of an ID
 - d. Voided Check or Direct Deposit Form
- SR's and SM's are encouraged to receive their pay through direct deposit. However, if needed, arrangements can be made to issue a paper check and the SR or SM can pick it up at the corporate office in Lubbock on Fridays, or have it mailed to their home address. To participate in direct deposit, a direct deposit form must be filled out with an attached voided check in the SR or SM's name.
- Deals that include a lease will be paid when it has been funded and must be funded before Thursday of that week to receive payment that Friday.
- A lease will not be paid out until a Delivery & Acceptance (D&A) form is correctly filled out and submitted, and Wholesale Payments must receive funding from the leasing company. Leases payouts include the cost of the equipment and funding factor deducted from the funded amount.
- If a lease is declined or delayed, the SR or SM has the option to convert the lease to a rental. This must be submitted through Customer Service (CS) as a Change Request Form (CRF). After the CRF is signed by merchant and submitted by CS, payment will add 3 months upfront commissions on the rental. This equipment will be considered a rental to the merchant. The SR or SM will be paid the upfront amount if the merchant is processing/installed.
- If a piece of equipment is sold to the merchant, a purchase order is prepared for the sale amount.
- The sale amount can be charged to the merchant as a one-time amount (1 Pay), or the amount can be spread out over time to make the cost of the sale easier for the merchant. SR or SM's can arrange with the merchant to pay Wholesale Payments once a month over a period of a maximum 3 months. The SR or SM will be paid 70% on the gross sale amount, less the cost of the equipment once the merchant has paid in full for their equipment. All Texas equipment sales will be charged sales tax. The sales tax is NOT included in your payout.

TRADITIONAL PRICED DEALS: Starting payment begins at \$300 and is adjusted higher or lower according to volume amounts and minimum SSOC's. Exception accounts to this pricing are:

- **Multiusers Deals** – the commission fee will be determined by the number of addresses and or different bank accounts not MID's.
- **Authorize.net, Swiper Deals & Wireless Terminals** – SR is paid only \$100 commission unless the statement is over \$10,000, as opposed to the standard up front commission Wholesale Payments has agreed to pay per deal. These terminals include but are not limited to the following: Mobile Swiper, USP Swiper, Clover Go, Clover Flex, Pax A920, PAX A60, Dejavoo Z9, Dejavoo Z1, Exadigm G3
- **Home-based Businesses and Hair Salons** – SR is paid only \$100 commission unless the statement is over \$10,000, as opposed to the standard up front commission Wholesale Payments has agreed to pay per deal.
- **Re-sign of Existing Deal** – SR or SM is paid \$0 up front commission, as opposed to the standard up front commission Wholesale Payments has agreed to pay per deal.

CASH DISCOUNT PRICED DEALS: Starting payment begins at \$400 and is adjusted higher or lower according to volume amounts and minimum SSOC's. Exception accounts to this pricing are:

- **Multiusers Deals** – the commission fee will be determined by the number of addresses and or different bank accounts not MID's.
- **Authorize.net, Swiper Deals & Wireless Terminals** – SR is paid only \$200 commission unless the statement is over \$5,000, as opposed to the standard up front commission Wholesale Payments has agreed to pay per deal. These terminals include but are not limited to the following: Mobile Swiper, USP Swiper, Clover Go, Clover Flex, PAX A920, PAX A60, Dejavoo Z9, Dejavoo Z1, Exadigm G3
- **Home-based Businesses and Hair Salons** – SR is paid only \$200 commission unless the statement is over \$5,000, as opposed to the standard up front commission Wholesale Payments has agreed to pay per deal.
- **Re-sign of Existing Deal** – SR or SM is paid \$100.00 up front commission, as opposed to the standard up front commission Wholesale Payments has agreed to pay per deal.

PRE-PAY VERIFICATIONS

- Each SR and SM will receive a "Pre-Pay Verification" email which will detail his or her pay for that week's payment cycle. Pre-Pay Verifications will be emailed every Wednesday by that evening. If a Pre-Pay Verification is not received, then Finance does not have any payment pending for that week.
- It is the responsibility of each SR and SM to review his or her Pre-Pay verification. If he or she finds an omission or a discrepancy, a notification email must be sent to accounting@wholesalepayments.com before Thursday, 10:00 AM Central Time. Please list the name of the merchant and a description of the discrepancy in the email.
- If there is an omission or discrepancy that is communicated after the cut off time off, it will be reflected on the next payment cycle.

BONUSES

- Monthly processing bonuses will be distributed as each bonus tier is met and the deals are Processing/Installed. If a deal is not Processing/Installed after 90 days, it will no longer qualify for bonus payout. Processing minimum is \$1000 in a 30-day span. All accounts must meet the processing minimum at the time of payout and must not exceed 90 days out. For example, January 8 deal bonus must have all 8 accounts processing the minimum \$1000 in a 30-day span by April 30th.

RESIDUALS

- Residuals will be distributed on the first Friday of each month. Once a SR or SM receives their residual report, if they find any discrepancies or have any questions, please send an email with a list of questions/concerns to accounting@wholesalepayments.com.
- Residuals are only paid out if 3 new merchant accounts are signed and approved monthly until you become vested. Depending on your Agent agreement, vesting periods and terms may vary. Please refer to your agent agreement for reference.

PAYMENT ADVANCES

- Payment advances will be decided by the CFO on a case-by-case basis. If a payment advance is granted, a 15% fee will be charged to the SR or SM.
- The Payment Advance Form must be signed and returned before the funds are released. Agent may be subject to the cost to initiate the transfer, whether it be a wire fee or ACH fee.
- No advance will be issued if there is an outstanding one currently at the time of asking.

LEAD DEDUCTIONS

- Wholesale Payments has a telemarketing department which calls merchants and sets appointments for use by SR's and SM's. When a SR or SM closes a deal with a merchant acquired by using a telemarketing lead, the SR or SM will be charged a \$50.00 lead deduction. If a deal is closed without benefit of a telemarketing lead, no deduction will be made.

CHARGEBACKS

- Chargebacks are taken monthly against residual payouts only.
- **Upfront Commission Chargebacks** – up to 120 days from date paid of the upfront commission.
If a SR's Merchant is non-processing for 30 days, WP will charge back the upfront commission, including the following:
 - Upfront Commission
 - Statement Bonus
 - Ramp up bonus (this only applies to new SRs in their first 90 days)

- Once the Merchant has processed to the threshold requirements (processing a minimum of (5) transactions from separate cards, excluding any test transactions AND at least \$1,000 in processing volume), the chargeback will be paid back to the SR.

Please note that if an SSOC rate is changed, the SR will be charged for the difference of what the deduction should be.

Example: Original Merchant Agreement states the Merchant is being charged a \$45 monthly service fee. Afterward, if the monthly service fee is lowered to \$25, the SR will be charged for what the deduction would have been.

- **Non-Processing Chargebacks** – If a SR's Merchant has not processed for 45 days, WP will charge back the SR the cost of the equipment (Agent price).
- If the Merchant starts to process again, the chargeback will be paid back to the SR.
- If the equipment is returned, the chargeback will be paid back to the SR.

STATEMENT VOLUME TIERS

- Statement Bonus Chargebacks – if all the SR is paid the Statement Bonus and the Merchant does not meet the amount of the statement, the Statement Bonus will be charged back after 60 days.

Other deductions can be taken out monthly against residual payouts:

- Equipment purchased by the rep
- Shipping Fees
- ETF

STATEMENT VOLUME TIERS

- Statement must be submitted with the Merchant Application.
- Statement must be within 90 days (3 months) of the date of the application.

Volume tiers are paid as follows:

- \$20,000 to \$50,000 the bonus is \$75;
- \$50,000 to \$59,999 the bonus is \$200;
- At \$60,000 and above the bonus is \$200 plus an extra \$100 per \$10,000 in additional monthly volume

ADDENDUM II

APPOINTMENT SETTING

Wholesale Payments (WP) offers an optional Appointment Setting Program whereby WP will schedule preset appointments for participating sales partners. The initial qualification to participate in this program is to have successfully sold a minimum of one merchant account that is processing.

QUOTA

For every ten (10) appointments WP sets, a minimum of two (2) sales are required. These two sales can be self-generated sales, sales from the appointments set, or any combination thereof. To qualify for any additional appointments, two sales per ten appointments will be required.

SCHEDULING

Scheduling is done through your Sales Manager. The request for leads must be made every Thursday by 10:00am Central Time and emailed to your Sales Manager.

FEEDBACK

Feedback is a critical part of the overall success of our Appointment Setting Program. We need to know what happened on each appointment on the day each appointment was had. Feedback must be sent to your Sales Manager daily on the outcome of each appointment.

- Did you present to a decision maker?
- Did you make the sale?
- Did you schedule a follow-up appointment if a sale was not made?

EXCLUSIVE DEALING

Sales partner hereby understands that Wholesale Payments is making a capital investment in the sales partner by providing pre-set appointments. As such, Sales Partner agrees to represent Wholesale Payments exclusively pertaining to the appointments, and any sales made from that appointment will be sent exclusively to Wholesale Payments. Wholesale Payments reserves all rights to follow up on every appointment. In the event Wholesale Payments discovers the sales partner submitted an account to any competitor from an appointment provided by Wholesale Payments, it will be considered an event default. The sales partner will be permanently disqualified from the appointment program, and all residual income will be terminated for cause.

COST

Wholesale Payments will not charge the sales partner per individual appointment. Sales partner agrees to a charge of \$50 per closed sale via the appointment program. Please note, part of this revenue is shared with the appointment setters themselves, thus feedback is critical.

GENERAL CONDUCT

Sales Partner hereby agrees NOT to call any merchant prior to the designated appointment time. This leads to high level of blow-outs compared to just showing up. Additionally, sales partner will be appropriately groomed, professionally dressed to impress, and make EVERY effort to show up on time. If there is ANY reason the sales partner cannot make the appointment, contact us prior to the scheduled appointment and our office will reschedule for you.